

You would have experienced anchoring bias when you were shopping, but very rarely you realize that it had an effect before you made the purchase decision.

- Let's say, you look at the menu of Baskin Robbins. The rep asks you Small, Medium or Large? You look at the prices and see 150 for large. Suddenly, the medium for 120 seems a lot more palatable.
- Before you go to a job interview, if the HR guy says base pay is 20,000, he's already anchored. You can negotiate on amicable terms with a 10% increase at best.
- You go to the bazaar, and your small cousin wants the water gun. The shopkeeper says it's 550. People good at negotiating, will buy it for 150 and boast the purchase (*while I close my sister's eyes before she sees the gun*).

Ever been on The Economist site? It has 3 options: Online only: 75\$, Print only: 149\$, Print and Online: 149\$. That middle option of print only is to trick your brain into thinking you're getting online version for free by paying the same cost.

When people around us started telling that a foreign vacation would likely be north of ₹ 40,000, we accepted it without challenging the underlying costs. Similarly, when our mind has set a price, we tend to accept these without rationing.

Countering anchoring bias takes a lot of mental effort - questioning the price rationale behind every purchase is tough. Our brain likes to automate and carry out decisions without expending too much brain power. Hence being alert, knowing that anchoring exists and doing a bit of research of the prices will help in your decision making.

4. The Stay-Put Bias

Stay-put mentality means to indulge in decisions that don't require you to alter anything in life. The ways it can harm your financial life are numerous: